Theory case · Topic 3 · 2 points · 15 min

C20 — Rotorline: investing and financing decisions, economic and financial structure

The finance manager of Rotorline S.A., a helicopter-tour operator, has two items on her desk this week. First, whether to buy a fourth helicopter now or wait until next spring, and whether to replace the old hangar. Second, how to pay for whatever is bought: a bank has offered a five-year loan, the shareholders could put in more money, or the company could keep this year's profit instead of paying dividends. She knows that the helicopter would earn about 9% per year and that the money to buy it would cost, on average, about 7%.

Part (a) · 1 point

Distinguish the two types of decisions the finance manager faces and link each one to a side of the balance sheet

The finance manager faces the two decisions of the finance area [Slide 3]:

- **Investing decisions** – *what to invest in and when?*: the fourth helicopter (now or in spring) and the new hangar. They define the **economic structure**, the use of the financial resources in goods and rights: the **assets**, what the company owns [Slides 4-5].
- **Financing decisions** – *how to obtain the money?*: bank loan, new equity from shareholders, or retained profit. They define the **financial structure**, the sources of financing: **equity and liabilities**, what the company owes [Slides 4-5, 6].

KEY POINTS

- Investing decisions (helicopter, hangar, timing) → economic structure → assets (what is owned).
- Financing decisions (loan, new equity, retained profit) → financial structure → equity and liabilities (what is owed).

Part (b) · 1 point

Use the 9% and 7% figures to explain the objective of the company in financial terms

The **assets** produce **profitability**, while **equity and liabilities** have a **cost**; the objective of the company is to **maximize value**, which requires that **profitability exceed cost** [Slide 5]. The new helicopter would earn about 9% per year while the funds to buy it cost about 7%, so it creates value: each year it returns 2 points more than it costs. If the cheapest financing available cost more than 9%, the same helicopter would destroy value, which is why the investing and financing decisions must be taken together.

KEY POINTS

- Assets generate profitability; financing has a cost.
- Objective: maximize value, which requires profitability > cost.
- 9% > 7%: the helicopter creates value.